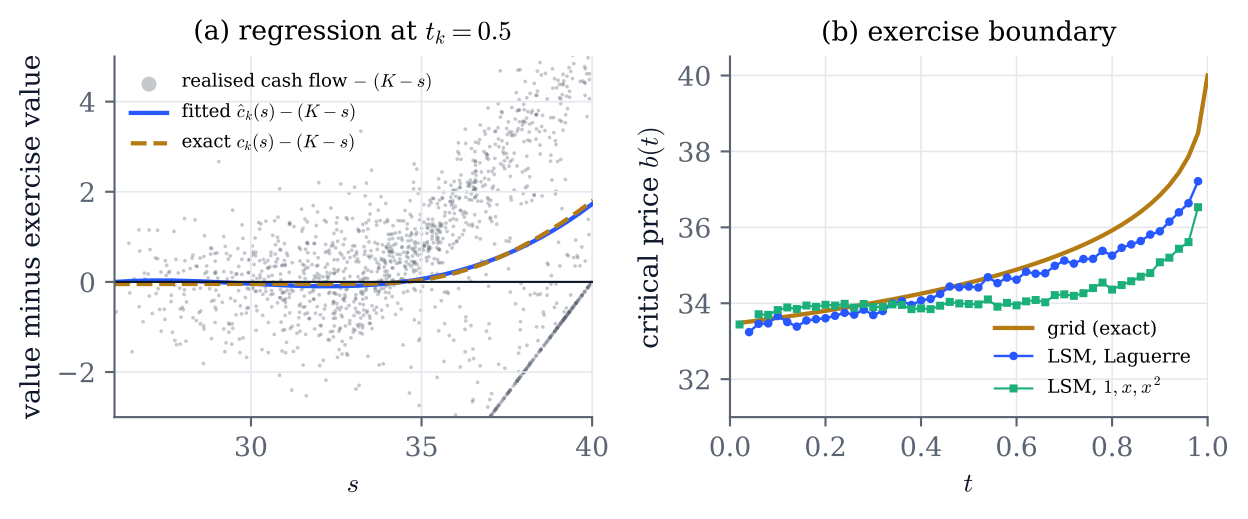

(a) regression at $t_k = 0.5$
realised cash flow $-(K-s)$
fitted $\hat{c}_k(s)-(K-s)$
exact $c_k(s)-(K-s)$
value minus exercise value
s
(b) exercise boundary
critical price $b(t)$
grid (exact)
LSM, Laguerre
LSM, $1, x, x^2$
t